

Module 8

An Introduction to Cost and Management Accounting

Learning Objectives

By the end of this module you should understand:

1. The differences between management accounting and financial accounting
2. The planning and control features of a manager's job
3. Management accounting's role in planning and control
4. The typical detailed internal decisions lying behind a set of published financial statements
5. The source of costs and how individual costs can be added together to determine the total cost of a product
6. That different costs and revenues are used for different management decisions;
management accounting systems must be sufficiently flexible to allow managers to use the information for a variety of purposes

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As we've already seen, this course is designed to cover both accounting functions – financial and managerial

**Financial Accounting
(Reporting)**

Compiling accounting information into financial statements showing the **overall** picture of the firm

Important for managers and shareholders in taking decisions and assessing company's performance

**Management
Accounting**

Predicting future prices and costs of daily operations

Important for managers to plan and control the day to-day activities of the business

We've also said: Accounting is a series of processes and techniques that identify, measure & communicate economic information to be used in decision-making

Financial Accounting:

Is a Service Function

- Accounts are designed to portray underlying economic strengths and weaknesses
- It provides information to **SHAREHOLDERS**

Deals with Economic Information & avoids the occurrence of events which cannot be quantified

- Accounting processes information into **MONEY VALUE**
- Corporate reporting currently includes intangible assets such as goodwill and brand names

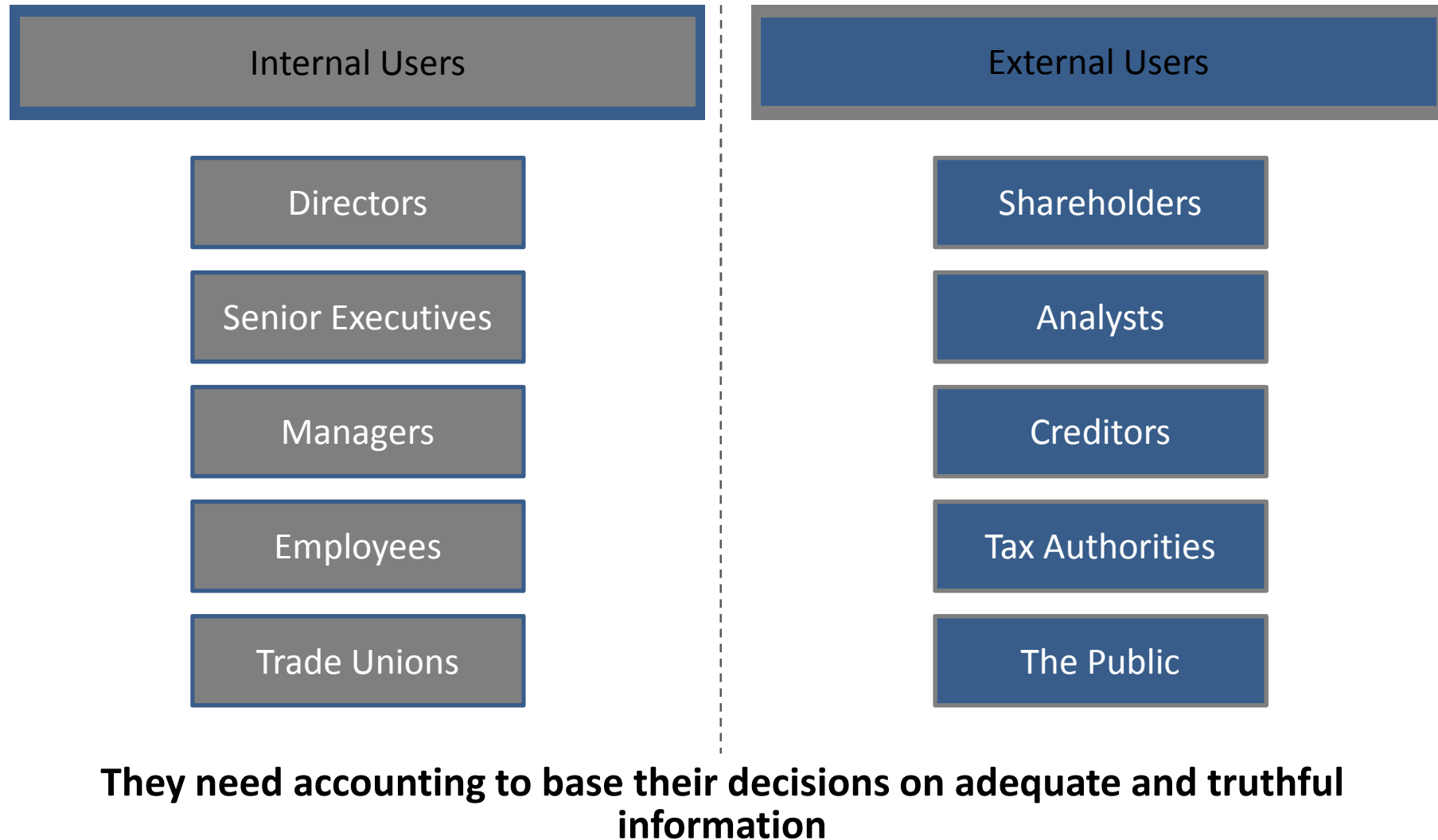
Must Be Identified, then Measured

- Some economic events are *easy* to identify and to measure
- Others are easy to identify but not to measure

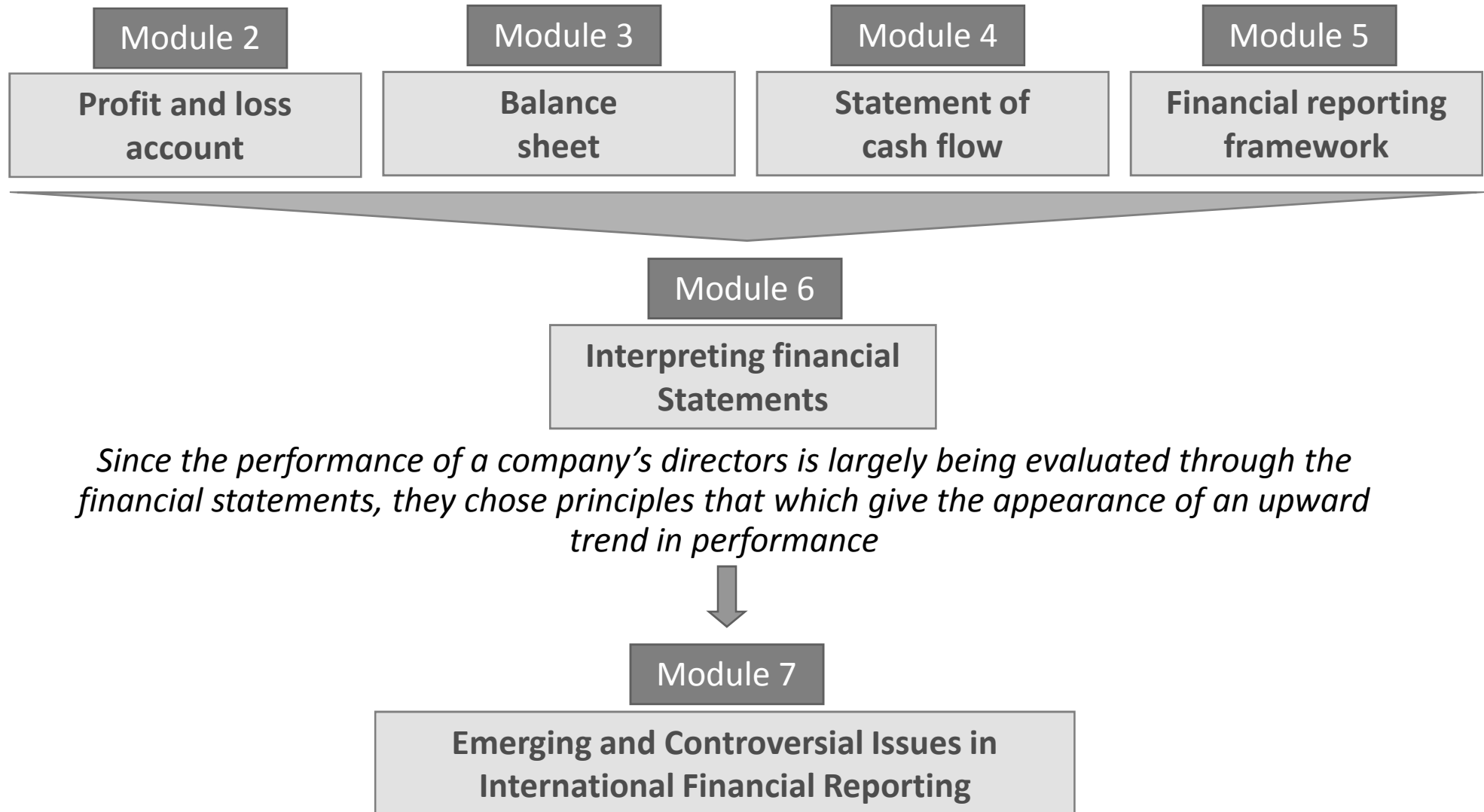
Is a Communication Device

- The **ANNUAL STATEMENTS** are the only communication a company has with its shareholders in the course of a normal year

Module 1 stressed that accounting information served a variety of users both inside and outside the organization



In the first seven modules we focused on the needs of external users represented in preparing and interpreting financial statements



The accounting information contained in these financial accounts is historic

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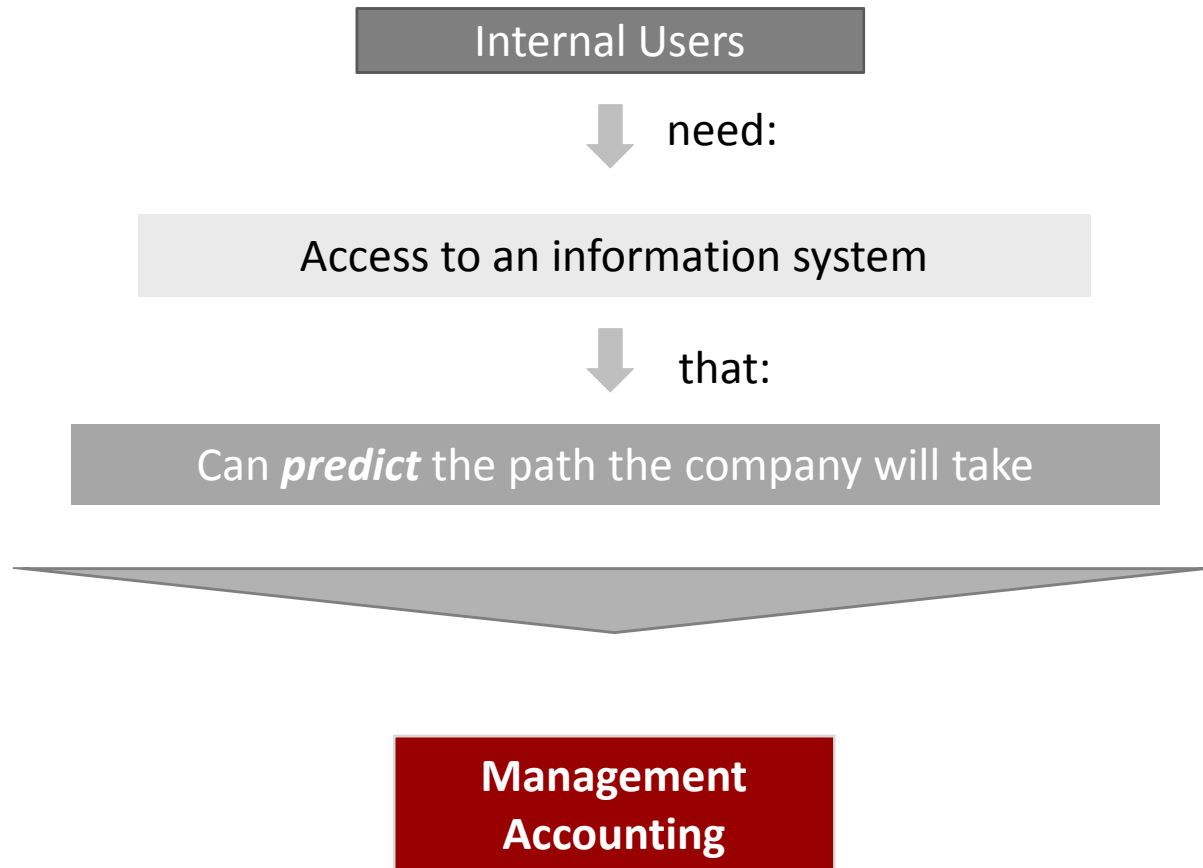
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However accounting and accountants must be capable of looking forward as well as back; this forward-looking branch is called management accounting



The same characteristics of the global definition apply to management accounting as to financial accounting and reporting

Management Accounting:

Is a Service Function

- The system serves managers and all other decision-makers **WITHIN** an organization

Deals with Economic Information

- Do **NOT** necessarily translate quantities into money terms
- E.g.: tons of material, hours per machine, number of shifts

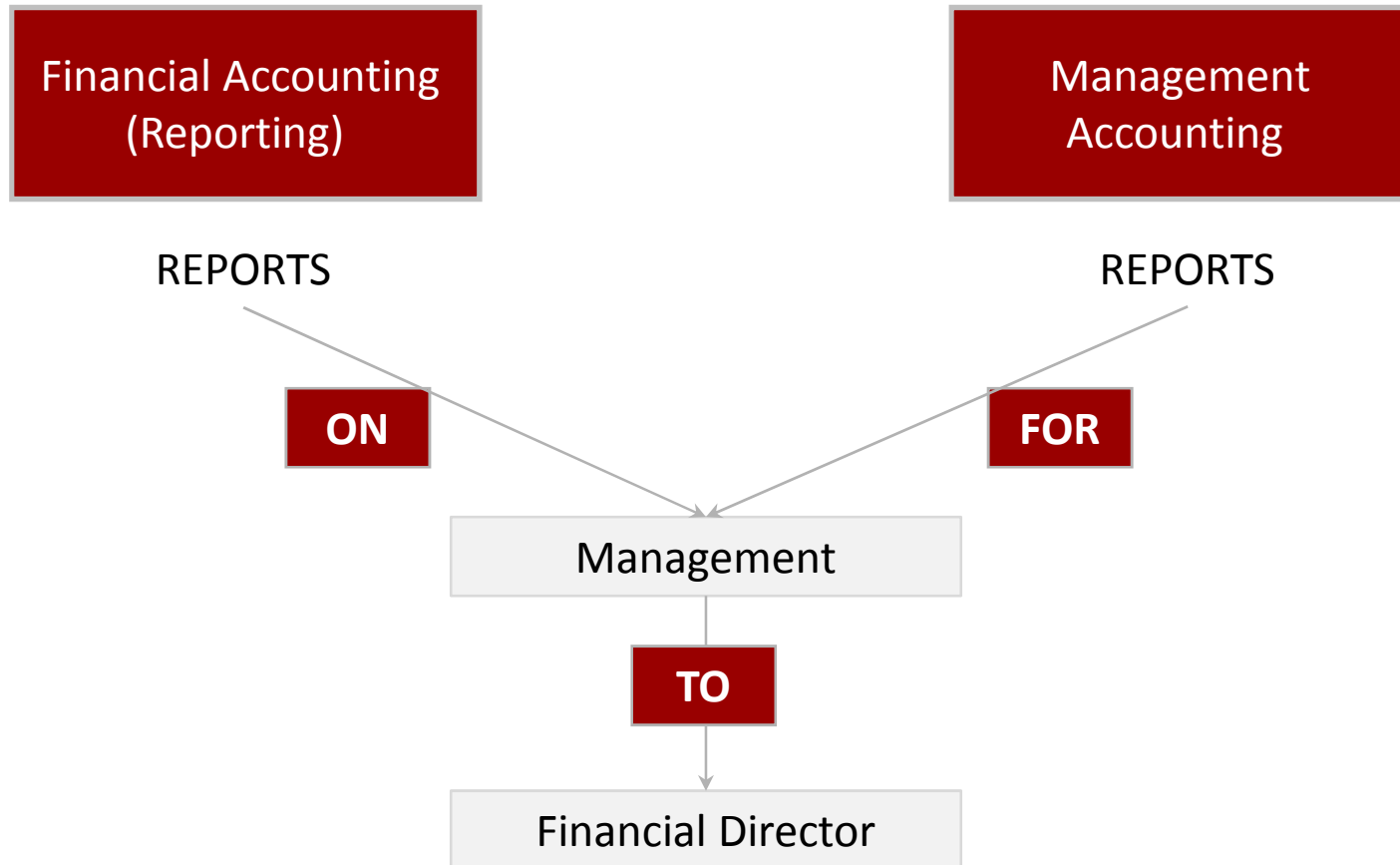
Must Be Identified, then Measured

- Some economic events are **easy** to identify and to measure
- Others are easy to identify but not to measure

Is a Communication Device

- Described as the cement which holds together the disparate parts of an organization

Although both financial and management accounting are positioned under the control of the financial director there is a difference between their functions



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A company's objective is to maximize shareholder's value and a manager's prime responsibility is to ensure that things get done efficiently to meet this objective

Manager's Tasks

Planning

- Develop broad objectives
- Consider ways to reach these objectives
- Work out costs and revenues associated with each alternative
- Select the favored alternative & start operations
- Prepare a detailed plan for the next 12 months & a rough one for the next 2 years

Coordination

- Ensure that the individual managers' plans add together to make a realistic and practical proposition

Directing

- Allocate specific tasks to individuals
- Ensure that their instructions are carried out

Control

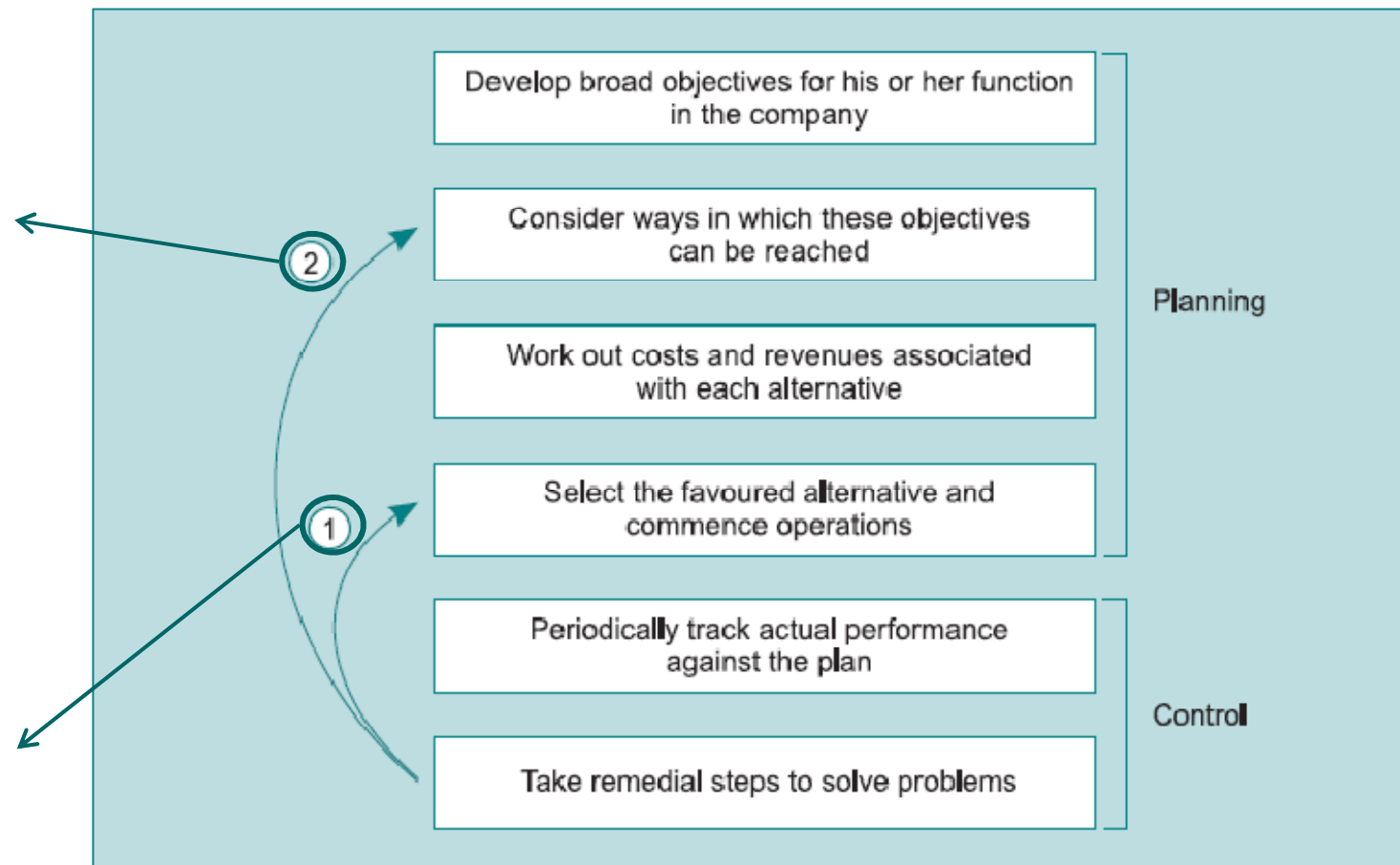
- Periodically track actual performance against the plan
- Take remedial steps to solve the problems

These four tasks are inter-related where there is a feedback loop between the planning and control functions

The planning and control loop

*Feedback loop 2 reflects the need for a rigorous **detailed** analysis to solve a problem emerging having an impact on the entire planning process*

*Feedback loop 1 reflects the need to adjust operations **immediately** on receipt of control information indicating that part of the operations is not running to plan*



Two examples showing the two feedback loops in practice

Examples

1. A paint manufacturer believed he had perfected a gloss paint which would dry in one hour after application to woodwork. His first 6 months' production figures told him that material costs far exceeded the budget.

On investigation he discovered that the special drying agent used in the paint formula was being purchased from a French supplier rather than a local one. Steps were therefore put in hand to re-source the supply on the expiry of the current contract.

Examples

2. The same paint manufacturer recognized after a period of several months' sales that the level of complaints and returns were running at 5 times the normal level.

A chemical analysis of the returned tins of paint revealed that certain climatic conditions caused the special drying agent to work when the tin was first opened, making it impossible for the user to dip in his brush! Such results caused him to reassess the viability of this special agent and after further tests in the R&D laboratory, he decided to abandon the line.

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The second part of this course is concerned with types of information that can be generated by the accounting system to help managers make correct decisions

Type of Information is Different

Financial Accounting	Management Accounting
Concerned with external sources of information: Newspapers and journals, media stories, conversations, economic and technological advice	Internally Generated: From the accounting system itself
Information is limited with statutory and professional regulations	Information is not limited, it is informal and flexible

The exact role of management accounting information in any organization is not made available publicly, as companies disclose as few information as possible

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We can work out some of the types of accounting information used by MBA managers from a study of their published accounts

MBA Group Income Statement for year ended 31st December 20x2

	Notes	Group		Industrial operations*		Financial operations*	
in euro million		20x2	20x1	20x2	20x1	20x2	20x1
1 (A) Revenues	7	44 335	41 525	43 662	39 712	8 479	7 822
Cost of sales	8	-34 064	-32 090	-34 107	-30 925	-7 423	-6 857
Gross profit		10 271	9 435	9 555	8 787	1 056	965
Sales and administration	9	-4 653	-4 446	-4 255	-4 058	-424	-407
R&D costs	10	-2 334	-2 146	-2 334	-2 146	-	-
Other operating income and expenses	11	461	510	426	469	14	11
2 (B) Profit before financial result		3 745	3 353	3 392	3 052	646	569
Financial result	12	-191	-148	-207	-229	57	89
3 (C) Profit from ordinary activities		3 554	3 205	3 185	2 823	703	658
Income taxes	13	-1 332	-1 258	-1 204	-1 128	-254	-231
Net profit	14	2 222	1 947	1 981	1 695	449	427
Earnings per share of common stock in euro	15	3.30	2.89				
Earnings per share of preferred stock in euro	15	3.32	2.91				

* before consolidation of transactions between the sub-groups

We will surmise the kinds of issues lying behind the figures in MBA accounts & suggest the types of management accounting information managers use in their work

1. Revenues

Breakdown by product group and geographical region is in annual report:

Take the position of the sales director of MBA's Electronic Systems in Europe: what figures will help him drive his business?

- 1 Market share of MBA Electronic Systems in Europe versus principal competitors
- 2 Change in market share quarter by quarter in 20x2 and plan for next two years
- 3 Above information broken down for top four (and bottom four) products in Electronic Systems division
- 4 Proposed marketing and promotional expenditure, product by product, for the next 12 months
- 5 Sales force requirements: head count, area switching, training needs
- 6 New product launch plans: timing, market penetration, cost, profit impact
- 7 Market opportunities in Eastern Europe

Much of this information is non-accounting as it is not concerned with money amounts

In order to know the kind of information management needs from “profits before financial results”, we need to delve deeper into the disclosed notes

2. Profit Before Financial Result

Details of the major items comprising cost of sales are given in Note 8 of the accounts and include the following items for 20x2:

	€ million
Manufacturing costs	24 694
Warranty expenditure	1 283
Cost of sales attributable to financial services	4 723
Other cost of sales	2 059

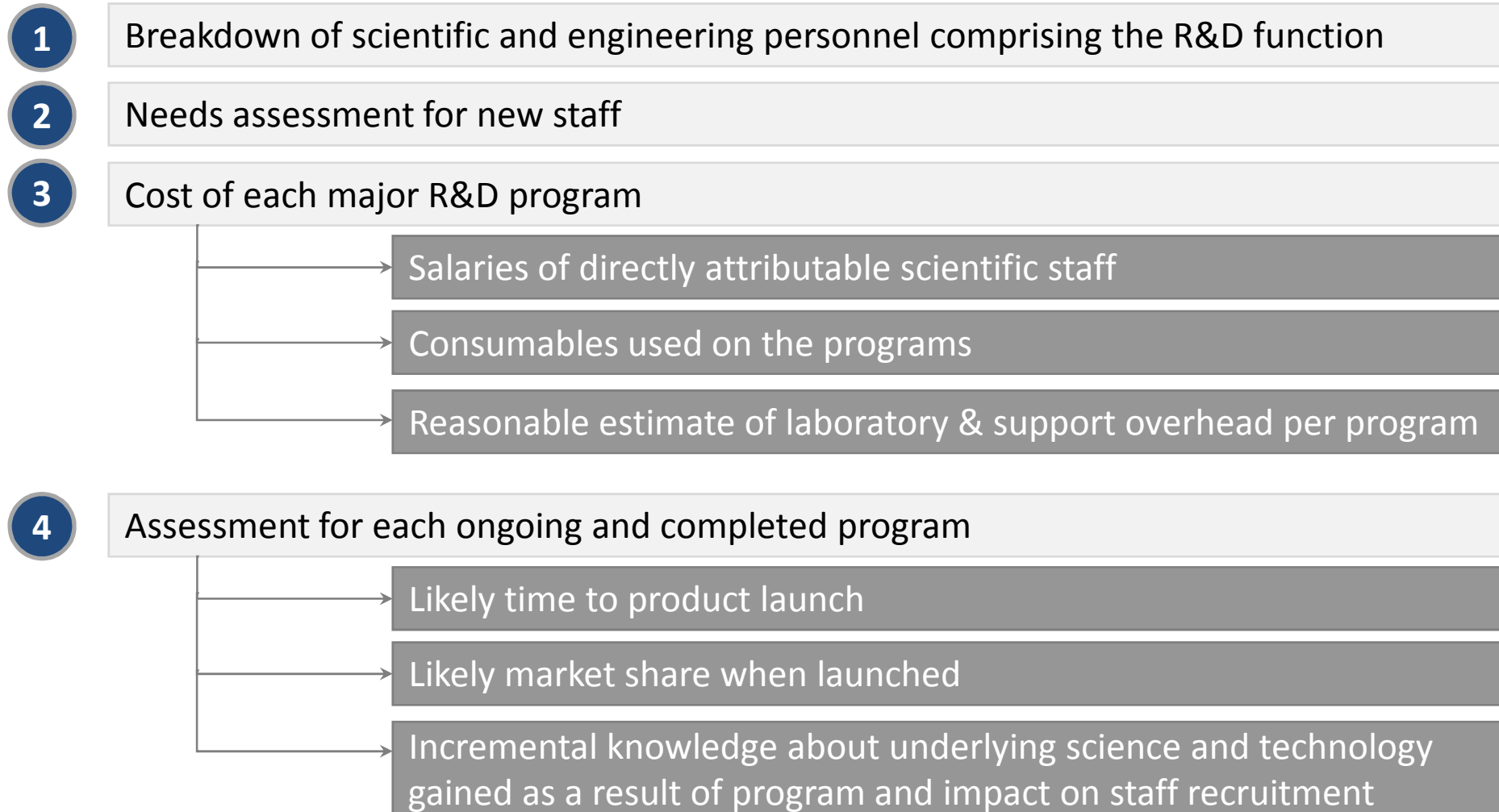
Consider the information needs of the production director of MBA's Communications division in the UK

2. Profit Before Financial Result

- 1 Total production costs, quarter by quarter, for past two years
- 2 Sales targets by lines for next year at least
- 3 Detailed cost of production for each product
 - Raw material cost per product
 - Labor cost per product
 - Total production overhead costs
 - Share of corporate overhead costs
- 4 Cost reduction programs for next 12 months with associated capital investment proposals
- 5 Actual costs of production for past month compared with budgeted costs, and reasons for differences between the two

Consider now the information requirements of the corporate R&D director who is responsible for the sum of €2,334 million

2. Profit Before Financial Result



Consider the information needs of the MD of MBA Asia Pacific – he is not only concerned with sales, production and R&D, but also with the profitability of these activities

3. Profit from Ordinary Activities

- 1** Profit margins in each product range
- 2** Profit margins in each country in his territory
- 3** Pricing strategies either to launch new products or dispose of old products
- 4** How territorial overhead is spread over countries and products
- 5** Costs charged by other regions of MBA when supplying Asia Pacific with components or partially finished goods for completion and sale

Consider the information needs of the board of directors which decides on whether to distribute dividends or to reinvest profits in the business

4. Dividends

- 1 Estimated 'profit on ordinary activities attributable to the shareholders' figure
- 2 An assessment from the auditors that no material alteration to the reported profit figure will need to be made
- 3 The cash resources of the company from which the dividend will be paid
- 4 Payout ratios from competitors and similar multinational groups
- 5 Analysts' forecasts of dividends
- 6 Current share price and an in-house assessment of effect on share price of different levels of payout
- 7 The impact on the stock market of offering new ordinary shares in lieu of cash dividends

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This section sets out all the differences between financial and management accounting in an easily digestible format

	Management Accounting	Financial Accounting
Structure	No formal structure	Highly structured around the accounting equation
Rules	No externally imposed rules	Restricted by GAAP
Compulsory?	No	Yes, obliged by law
Money Terms	Not exclusively, can include labor hours, tons used...etc	Yes, exclusively in money terms
Time-span	Future oriented, (forecasts, estimates and projections)	Past events
Whole or parts?	Fragmented	Economic events as a whole
Audit?	No, although the auditors wish to test the internal controls	Yes, required audit their accounts by registered auditor

There is no unified corporate management accounting system, instead there tend to exist many different types of information each used for a different purpose

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Case Studies

Many textbooks are confused about the concept of management and cost accounting, ours sees that cost accounting is a subset of management accounting

Assumptions About Management Accounting & Cost Accounting

Management accounting is quite different from cost accounting

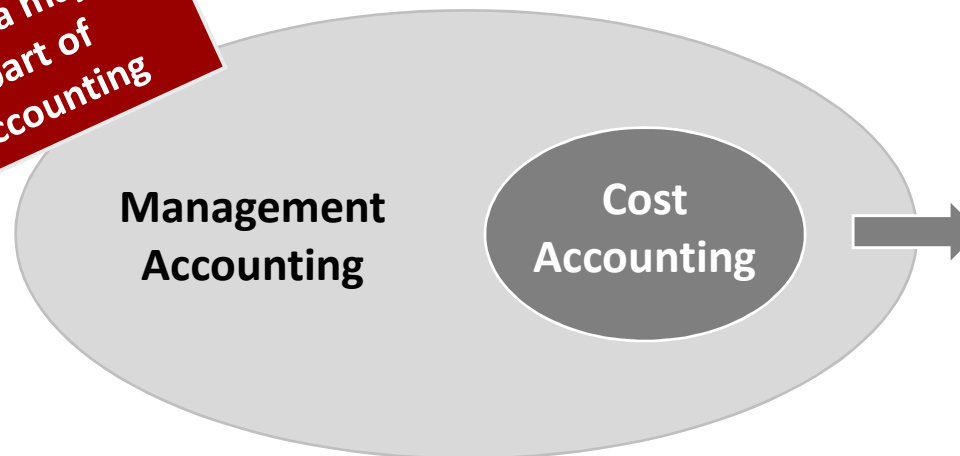
x

No difference at all between the two types of accounting

x

Neither interpretation is correct

Cost accounting is a major and essential part of management accounting



Classification, collection and analysis of costs, principal features of cost accounting, are fundamental to management planning and control

It is important therefore to understand some of the basic concepts of cost before embarking on a study of their managerial implications

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We will now consider the characteristics of the usual types of costs incurred by a manufacturing company and how the information about such costs is gathered

Example for Discussion

- A business manufactures timber-shelved stacking units for DVDs.
- Production involves the use of materials: chipboard, veneer and metal edging.
- Use is also made of buildings, machinery and equipment.
- Payments have to be made to obtain these production factors.
- Production factors are classified according to the nature of the item or service received such as 'material cost', 'labor cost' and 'overhead expense'.
- Costing systems are designed to facilitate the allocation or apportionment of expenditure to cost centers or to products

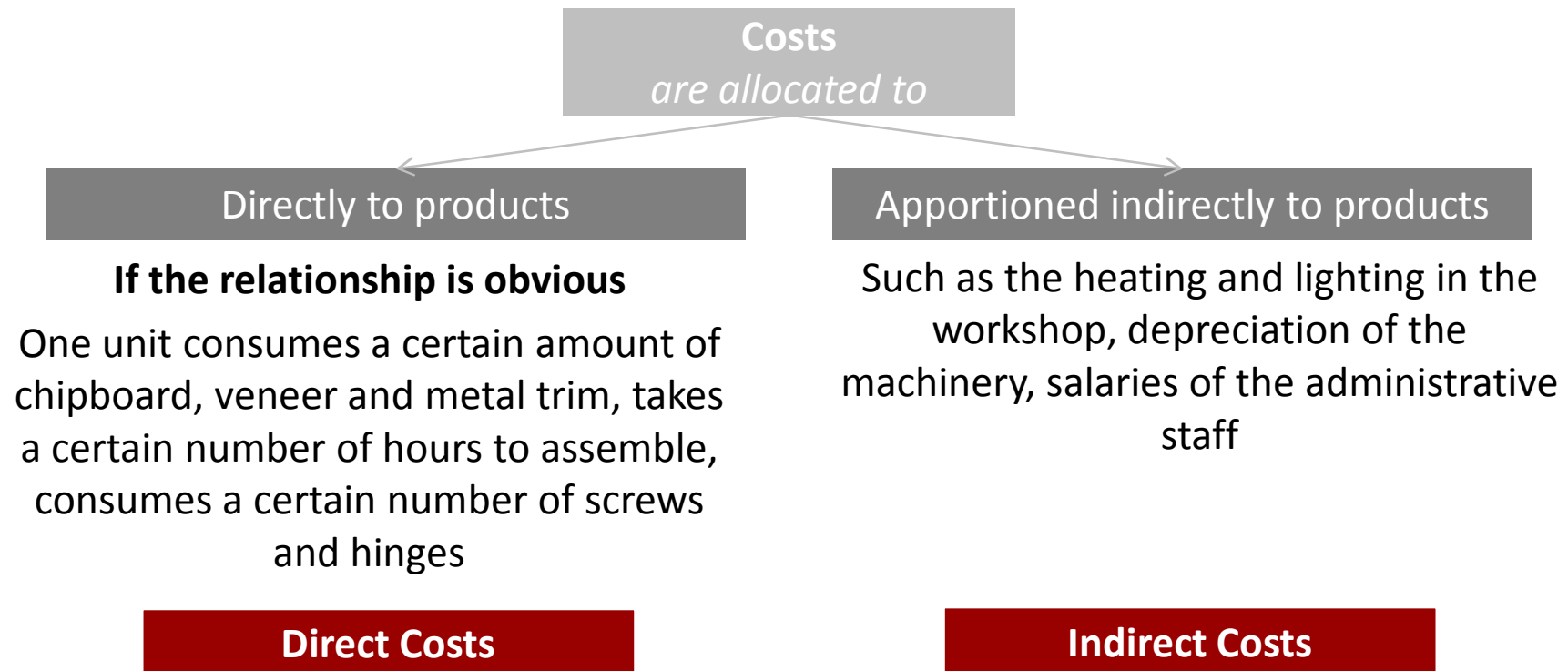
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Example for Discussion (Continued)

- The cost of one shelved DVD unit would be stated thus:

One timber-shelved DVD unit	
Direct material	€
Chipboard	10.00
Veneer	3.00
Metal trim	2.00
	15.00
Direct labour 1.5 hours @€5 per hour	7.50
Prime cost	22.50
Manufacturing overhead	2.50
Manufacturing cost	25.00
Share of non-manufacturing overhead	5.00
Total cost	30.00

Note that costs can be allocated directly or indirectly to the product, thus creating two types of products



The type of cost structure will be examined closely in Module 9. The concern of this section is: how are costs accumulated into such an orderly presentation?

Direct Materials

Material that actually becomes part of the specified finished product

↓ *example:*

Raw material drawn for use in the assembly process for DVD production

↓ *recorded at either:*

1. Cost of the individual item
2. Stock valuation methods FIFO and LIFO
3. Standard cost (Module 13)

Direct Labor

Part of the total labor cost which can be traced to, the units of output produced

↓ *example:*

Employees who are closest to the manufacturing or assembling process

↓ *recorded by:*

Multiplying each hour worked by the rate of pay for the respective employee

Manufacturing Overheads

Broad category of cost which includes all costs associated with manufacturing other than direct material and direct labor

↓ *example:*

Indirect labor of employees not directly associated with production, supplies, factory heating & lighting, power, machine maintenance & depreciation

↓ *recorded by:*

Apportioned to individual units of output by one of a variety of methods to be (Module 9)

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The system described before is called "Job costing", used where the units of output are identifiable, if they are not identifiable then another system is used "Process Costing"

Process Costing Systems → Module 10

used in

Industries where the items produced are so homogeneous that physical identification is impossible

Refining

Chemical processing

Manufacturing activities where products are continuously produced in an unvarying mix

Determine the cost for each unit

Costs for **ALL** the products

Divided by:

Total number of units produced

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Management decisions can be split into two broad categories: routine & special, where both needs financial information on costs and revenues

Routine Decisions

Concerned with the day-to-day operations of the enterprise



- Ensuring that the agreed volume of output is produced in the agreed manner
- Ironing out problems that arise with supplies of raw materials or with the production workers

Special Decisions

Need special cost information which does not fall out easily from the cost accounting system



- Should we change our supplier and purchase a slightly inferior, but cheaper, product?
- Should we buy in a particular component and cease manufacturing it ourselves?
- Should we replace a piece of equipment by a more efficient, but expensive, model?
- Should we change our product mix and phase out product XY?
- How far can we afford to drop our prices in order to capture more market share?

Management must be flexible in their analysis of their cost structure to ensure that their decision making is to their best interest

An Example of Misinterpretation

The management of the workshop believes that the cost of manufacturing one timber shelved DVD unit is €30. A major home electronics chain offers to buy in bulk for €24 per unit. The management rejects the offer on the grounds that a loss of €6 per unit would be incurred on such a deal.

Perhaps the management is right in refusing this offer (for example, the units may be selling well for more than €30 so why should they be sold at €24?) but has used the wrong reason. If this is not pointed out to the management, it may lead the managers to take a wrong, and damaging, decision in the future.

Example (continued)

Consider the cost information given above on each DVD unit

- Each unit's variable cost is €22.50
- The overheads costs is €7.50, that are not directly associated with each unit of production and would not vary in any significant way if production volume increased or decreased by a few units. They are called fixed costs and would be incurred whether the workshop produced any units or not.
- It is therefore misleading for managers to think that each unit costs more than €22.50
- Provided the bulk order would not stretch production capacity beyond the present limit, and provided no full price orders would be displaced, the company could accept the offer of €24 and be better off by €1.50 (€24 less €22.50).
- That €1.50 would contribute towards meeting the burden of overheads already being incurred. By not selling for €24 the company has lost this contribution.

Unless managers understand the notion of contribution and variable and fixed costs, they may take wrong decisions

- For instance when the market drops away and inventory builds up, managers may be very happy to accept €24 in order to realize the modest contribution for each unit sold – but only if they understand the nature of overheads.
- Another special decision facing management is the purchase of capital equipment (fixed assets) to assist in the production process. Such equipment is very costly and requires an investment today which will yield income over future years. The manager employs a variety of techniques in this assessment which are known as investment appraisal.
- These techniques are the subject of Module 15.

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Other Topics in the Management Accounting Course

Topics to Be Discussed in Second Part

Budgeting	Module 12
Accounting for Divisions	Module 14
Techniques under Development	Module 16

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Multiple Choice Questions

8.1 Management accounting is an area of accounting where the principal concern is with the accuracy of historic cost information. True or false?

False

Multiple Choice Questions (Continued)

8.2 In the organization and control of a business, management accounting plays an important role in:

- i. linking and coordinating the different parts of the business;
- ii. providing shareholders with detailed information on the company's products;
- iii. using available physical measures of activity to enhance the quality of management control;
- iv. collating information in the format required by the tax authorities.

Which of the following is correct?

- A. (i) only.
- B. (i) and (ii) only.
- C. (i) and (iii) only.
- D. (ii), (iii) and (iv) only.

Multiple Choice Questions (Continued)

8.3 The form and shape of management accounting is not controlled by either legal parameters or professional guidelines. True or false?

True

Multiple Choice Questions (Continued)

8.4 Which of the following information requirements will be fulfilled by a management accounting system?

- A. Computation of earnings per share.
- B. Labor cost per unit of production.
- C. Gearing ratio.
- D. Sources and applications of funds statement.

Multiple Choice Questions (Continued)

8.5 Management information systems are designed to collate, extract and review items of accounting and non-accounting information which are key to a company's performance, including:

- i. changes in market share for products;
- ii. profit margins in each product range;
- iii. the composition of its shareholders;
- iv. budgeted as compared with actual costs of production.

Which of the following is correct?

- A. (i) and (ii) only.
- B. (i) and (iii) only.
- C. (i), (ii) and (iii) only.
- D. (i), (ii) and (iv) only.

Multiple Choice Questions (Continued)

8.6 Which of the following is correct?

Management accounting:

- A. Takes no account of different information needs;
- B. Is a well-defined, objective discipline;
- C. Neither takes account of different information needs, nor is a well-defined, objective discipline;
- D. Takes account of different information needs, but is not a well-defined, objective discipline.

Multiple Choice Questions (Continued)

8.7 Which of the following is correct?

- A. Management accounting is highly structured around the accounting equation.
- B. Financial accounting is not compulsory, but few companies succeed without a system.
- C. Management accounting has no rigid rule enforcement on asset valuation and revenue recognition.
- D. Financial accounting covers information expressed in non-monetary terms.

Multiple Choice Questions (Continued)

8.8 Which two of the following are correct?

- A. Management accounting deals in future-based information and projections.
- B. Financial accounting focuses on product lines, profits and costs.
- C. Management accounts must be audited by a registered auditor.
- D. Management accounting systems differ from company to company, being designed to suit specific purposes.

Multiple Choice Questions (Continued)

8.9 Which is the true statement?

- A. The management accountant is responsible only for internal reporting.
- B. The management accountant is responsible only for external reporting.
- C. Both financial and management accountants fulfill the same function.
- D. Inventory valuation means that the management accountant fulfils a role in both external and internal reporting.

Multiple Choice Questions (Continued)

8.10 In considering the operation of a costing system, which of the following is correct?

- A. Depreciation of machinery is a direct product cost.
- B. Wages of skilled craftsmen are direct product costs.
- C. Administrative wages are direct product costs.
- D. Materials used in manufacture are indirect product costs.

Multiple Choice Questions (Continued)

8.11 Which of the following defines prime cost?

- A. Direct material + Direct labor.
- B. Direct material + Manufacturing overhead.
- C. Direct labor + Manufacturing overhead.
- D. Direct material + Direct labor + Manufacturing overhead.

Multiple Choice Questions (Continued)

8.12 If materials are drawn out of stores for use in the manufacturing process, which one of the following is the correct accounting adjustment?

- A. Increase in stores; decrease in work-in-progress.
- B. Decrease in stores; increase in finished goods.
- C. Decrease in stores; increase in work-in-progress.
- D. Increase in stores; increase in work-in-progress.

Multiple Choice Questions (Continued)

8.13 Which of the following statements is correct?

- A. Non-manufacturing overheads are allocated directly to product costs.
- B. Manufacturing overheads are apportioned to product costs.
- C. Manufacturing overheads are allocated directly to product costs.
- D. Non-manufacturing overheads are apportioned to product costs.

Multiple Choice Questions (Continued)

8.14 Which of the following will be the appropriate classification for the wages of production supervisors?

- A. Non-manufacturing overheads.
- B. Manufacturing overheads.
- C. Direct labor.
- D. Administrative expenses.

Multiple Choice Questions (Continued)

8.15 The nature of the final product is an important determining factor in the selection of the most appropriate product costing system. This explains why:

- i. process costing is used for large construction projects;
- ii. job costing is used by printers and legal firms;
- iii. process costing is used by food-processing companies;
- iv. job costing is used by oil refineries.

Which of the following is correct?

- A. (i) and (ii) only.
- B. (i) and (iii) only.
- C. (ii) and (iii) only.
- D. (iii) and (iv) only.

Multiple Choice Questions (Continued)

8.16 The activities of the different departments of any organization need to be coordinated effectively. If a sales manager is encountering falling sales of one product and decides to stop offering it to his customers, which one of the following items of internal management information might cause him to re-examine his decision?

- A. The production manager indicates that the product has a poor yield and suffers quality problems.
- B. The personnel manager advises that there is a scarcity of the skilled operatives required to manufacture the product.
- C. The purchasing manager confirms that the key material needed for the product is in short supply.
- D. The stores controller advises that, at the current rate of sales, there are three years' supplies of finished goods in stores.

Multiple Choice Questions (Continued)

8.17 Cost accounting systems produce the type of cost information which can be used, without any amendment, to assist management in making special decisions. True or false?

False

Multiple Choice Questions (Continued)

8.18 If a management accountant describes a cost as relevant in one decision situation, then it is relevant in every decision situation. True or false?

False

Multiple Choice Questions (Continued)

8.19 For managers to appreciate the available options in decision situations, it is imperative that they understand the concept of contribution and the difference between variable and fixed costs. True or false?

True

Multiple Choice Questions (Continued)

8.20 The role of management accounting in assisting management decisions through the supply of internal accounting information is dependent on:

- i. its verifiability by external scrutiny;
- ii. its relevance to specific decisions;
- iii. its flexibility in meeting changing demands;
- iv. its timely availability.

Which of the following is correct?

- A. (i) only.
- B. (i), (ii) and (iii) only.
- C. (ii) and (iii) only.
- D. (ii), (iii) and (iv) only.